

chapters, we saw that counter-trend trading and curve trading can both produce attractive returns. What if we traded all three of these strategies together? Would that perhaps improve our overall returns? Only one way to find out.

For this demonstration, I will use the three models we've seen so far, with trading costs included as well as slippage, but no other costs. Have a look first at the three backtests in Figure 9.1.

Looking at a long-term graph like can be dangerously misleading. We might get a general idea of the behaviour of a strategy, but it would be impossible to determine which of these strategies is preferable to another. The human eye, or brain for that matter, simply doesn't work that way. It would appear from a visual inspection that the curve trading strategy is vastly superior to the counter-trend model, but if you look closer at Table 9.1, you should come to quite a different conclusion.

Table 9.1 shows that all three model have reasonable returns, with similar volatility and drawdowns and attractive returns. Be careful in drawing too many conclusions from the fact that the curve and counter-models show higher returns. We already know that trend following has had a few difficult years recently and that very much affects the long-term values. Trend following is also a much more liquid strategy, able to take far greater capital than the other two. While you can safely deploy tens of billions on trend following, you would struggle with even a few hundred million for curve trading.



FIGURE 9.1 Three futures trading approaches.